
Sarath & Associates

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Year-end closures coupled with adherence to various statutory compliances are a roadmap to navigate complexities, ensuring that your data serves as a transparent and resilient foundation for the year ahead.

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Closing Procedures: The Year-End Ritual

By K. Taruni

As 31st March approaches, finance teams across India gear up for the annual “closing of books,” a meticulous process to finalize accounts, comply with Accounting Standards (AS) or Indian Accounting Standards (Ind AS), Schedule III, and other applicable laws, and establish a reliable foundation for audits, tax filings, and board approvals. The primary objective of the closing process is to summarize the financial activities of the year and ensure accuracy, completeness, and transparency in financial reporting. Additionally, it benefits entities to do Budget vs Actuals comparison and provides valuable insights for future decision-making.

Why Closing of Books Matters?

Accurate year-end closing ensures financial statements reflect true business performance, enabling stakeholders to make informed decisions. Errors here can trigger audit qualifications, tax notices, or even regulatory penalties under Companies Act, 2013 and may also create reporting challenges in subsequent financial year.

Common Challenges During Closing of Books

- **Data Reconciliation Issues:** Reconciling financial data from various sources, such as bank statements, invoices, statutory dues and general ledger accounts, can be cumbersome and prone to errors. Discrepancies in data reconciliation may result from clerical mistakes, missing documentation, or system errors.
- **Data Documentation errors:** Incomplete or inaccurate documentation hinders the closing process and compromises the reliability of financial reports. Failure to maintain proper documentation of transactions and audit trails can impede the reconciliation process and increase the likelihood of errors.

Key Components of Closing Procedures

A comprehensive closing process typically includes:

Reconcile All Balances – Laying a Strong Foundation: The foundation of year-end closing lies in reconciling all ledger balances with supporting documents, including

- Verification of opening balances carried forward from the previous year
- Bank balances must match bank statements and supported by bank reconciliation
- GST returns should align with books (and vice versa)
- Receivables and payables must be confirmed by respective parties
- Statutory dues, including GST, TDS, PF, and ESI, require thorough verification
- Intercompany balances should be reconciled before consolidation to avoid mismatches between entities. Early detection of discrepancies prevents last-minute audit qualifications and reporting errors

Cut-Off Procedures, Accruals, Prepaid Expenses and Provisions - Ensuring Period Accuracy

Cut-off procedures ensure that income and expenses are recorded in the respective financial year, thereby maintaining the accuracy of financial statements. Income and expenditure pertaining to the current year must be accounted for even if the invoices are received later. Particular attention should be given to goods-in-transit and transactions occurring close to the year-end to avoid misstatements. Under the accrual concept, expenses incurred but unpaid—such as audit fees, bonus, gratuity, leave encashment, and interest—must be recognized. Prepaid expenses like insurance, rent, or maintenance contracts must be apportioned between periods. Accurate accruals ensure profits are neither overstated nor understated. Provisions are created when a present obligation exists and outflow is probable, in

line with AS 29 or Ind AS 37. Employee benefit obligations are valued under AS 15 or Ind AS 19, often using actuarial reports. Proper cut-off, accrual, and provisioning of income and expenses prevent misallocation between accounting periods and ensure the financial results accurately reflect the company's true performance.

Errors and Omissions

Errors or omissions relating to earlier years should be disclosed as prior period items under AS 5 or Ind AS 8. Transparent disclosure maintains the integrity of financial reporting.

Property, Plant & Equipment (PPE) and Depreciation Review – Reflecting Economic Consumption

PPE Additions made before March 31 should be capitalized appropriately during the year. Ensure they are properly recorded in the fixed assets register, which forms the basis for depreciation calculations. Depreciation allocates the cost of PPE over their useful lives as per Schedule II. Companies must review the useful life and residual value of each PPE annually. Impairment testing under AS 28 or Ind AS 36 is required if indicators of loss in value arise. Proper PPE accounting ensures the balance sheet reflects realistic carrying values of PPE.

Inventory Verification & Valuation

Physical verification of inventory at year-end is essential to confirm existence and condition. Slow-moving or obsolete stock requires appropriate write-downs. Cut-off procedures around purchases and sales impact closing stock valuation. Inventory must be valued at the lower of cost or net realizable value under AS 2 or Ind AS 2. In group companies, unrealized profit embedded in unsold intercompany inventory must be eliminated during consolidation.

Revenue Recognition

Revenue must be recognized according to AS 9 or the five-step model under Ind AS 115.

Foreign Exchange – Managing Currency Volatility

Foreign currency monetary items are restated at closing exchange rates as per AS 11 or Ind AS 21. Unrealized gains and losses are recognized appropriately in profit and loss account or in Other Comprehensive Income (OCI). Revaluation of foreign currency loans and payables reduces reporting inconsistencies. Proper forex accounting mitigates earnings volatility due to currency fluctuations.

Tax Computation & advance tax – Aligning Accounting and Tax Profits

Year-end closing requires reconciliation of accounting profit with taxable income. Current tax, deferred tax (AS 22 / Ind AS 12), and MAT at 15% of adjusted book profits must be computed where applicable. Advance tax payments should be matched with total tax liability to avoid interest under Sections 234B and 234C. Deferred Tax Assets and Liabilities must be reviewed for recognition and reversals. Accurate tax reporting minimizes disputes and ensures regulatory compliance.

Preparation of Financial Statements and Related Disclosures

The final step is preparing financial statements under Schedule III. AS entities follow Division I, while Ind AS entities follow Division II with additional disclosures such as Other Comprehensive Income and Statement of Changes in Equity. Detailed notes on accounting policies, estimates, related party transactions, and contingencies are mandatory. The Cash Flow Statement provides insight into liquidity and operational efficiency. Well-prepared statements enhance stakeholder confidence and support sound governance.

Conclusion

Year-end closing more than a statutory exercise, is a financial performance of the entity. A systematic and well-documented closing process not only ensures compliance but also strengthens transparency, accountability, and long-term business sustainability.

Before You Close the Books: A Strategic GST Review

By T. Sanjana

As the financial year draws to a close, GST compliance moves beyond routine monthly filings and enters a crucial phase of reconciliation, validation, and risk assessment. Year-end GST closing is not merely a procedural formality; it is a strategic compliance exercise that helps businesses to:

1. Identify mismatches
2. Correct reporting errors
3. Optimise Input Tax Credit (ITC), and
4. Mitigate potential exposure to interest and penalties.

With increasing data analytics and system-driven scrutiny by the Central Board of Indirect Taxes and Customs (CBIC), inconsistencies between books of accounts, GSTR-1, GSTR-3B, and GSTR-2B are more likely to trigger notices.

A systematic year-end review ensures that turnover, tax liability, ITC claims, reversals and Reverse Charge compliances are properly aligned before statutory timelines lapse.

Turnover Reconciliation – The Foundation

Identify and resolve unreconciled differences to avoid departmental scrutiny. Hence, a comprehensive reconciliation must be undertaken for the following:

- Books of Accounts, GSTR-1, GSTR-3B, E-way Bill data, and Financial Statements.
- B2B vs B2C classification.
- Reporting of zero-rated supplies (Exports/SEZ).
- Treatment of advances received and adjusted.
- Credit notes has to be issued within the statutory time limit (30th November of succeeding FY).
- Correctness of tax rates and HSN/SAC classifications.
- E-invoice mandatory - where the turnover has exceeded 5 Crores in any Financial Year from 2017-18 to 2025-26.
- Check expense ledgers for any credits that may actually represent recoveries or income and confirm whether GST should have been charged on them.
- Ensure in cases of monthly turnover exceeding 50 lakhs, at least 1% of the outward liability needs to be paid in cash [subject to the exceptions in Rule 86(B)]
- Verify that on sale/transfer of Capital Assets, GST is paid as per the applicable laws.
- For sale of old/used vehicles, ensure eligibility under the margin scheme, confirm GST is discharged on the taxable margin (where applicable), and verify application of the correct notified rate.
- Ensure that branch transfers has been properly reported in GST returns.

Input Tax Credit (ITC) – Optimization & Risk Control

ITC continues to be a sensitive litigation area and demands careful year-end scrutiny. Every Business must:

- Reconcile Books vs GSTR-2B vs ITC claimed in GSTR-3B.
- Ensure all ITC is claimed by November 30th of the following year or date of filing your annual return whichever is earlier
- Reconciliation of balance of Credit and Cash Ledger as per GST Portal with the balance appearing in books.
- Tracker for invoices/CN/DN rejected in GST-IMS portal and ensure that subsequent action is taken.
- Identify ineligible ITC and ensure proper reversals have been made.
- Verify 180-day payment compliance and if the vendor payment has not been made within 180 days ITC shall be reversed.
- Perform annual recalculation of ITC to ensure that you only retain credit attributable to taxable business activities and proportional ITC on common expenses used for exempt supplies is reversed.
- Identify excess ITC claims or short reversals.
- Verification of temporary reversals for subsequent claim or permanent reversal

Reverse Charge Mechanism (RCM) Review

Reverse Charge Mechanism (RCM) compliance requires focused year-end verification to avoid interest and penalty exposure. It is critical to ensure that tax under RCM is discharged through the electronic cash ledger and that the corresponding ITC is appropriately availed, subject to eligibility. Key Checks should include review of RCM applicability on:

- GTA services
- Legal services
- Import of services
- Director remuneration (where applicable)
- Rent
- Corporate guarantees
- Services received from government
- Other notified categories

A structured review of these areas helps prevent unnoticed defaults and strengthens overall GST compliance.

Export & Refund Validation:

For exporters, year-end GST closing requires careful validation of zero-rated supply compliances to ensure smooth refund processing.

The review should include:

- Verification of validity of LUT for zero-rated supplies.
- Reconcile shipping bills with GSTR-1 disclosures.
- Assessment of refund status (IGST refunds / ITC refunds).
- Proper Track of BRC/FIRC documentation.

Any delays, documentation gaps, or reporting mismatches may result in refund rejections or prolonged processing timelines, impacting working capital and cash flow.

Interest, Penalty & Exposure Mapping:

Early identification of discrepancies enables timely corrective action, including payment of differential tax and applicable interest where required. Businesses should compute potential exposure arising from the following as part of their year-end GST review:

- Short payment of tax
- Delayed return filing
- Excess ITC claims
- Incorrect tax classification

Annual Return Preparedness

Although audit certification requirements have evolved, the Annual Return (GSTR-9) continues to require detailed disclosures and reconciliation of turnover, ITC, and tax payments.

Proper preparation in advance ensures smooth filing and reduces the risk of future departmental queries and ensures safeguarding the organization against avoidable financial and reputational risks and ensuring accurate financial reporting.

Quick Compliance Snapshot

Quick compliance snapshot: the ten areas of the year-end GST review, numbered in the order listed.

S.No	PARTICULARS
1	Turnover Reconciliation
2	ITC Reconciliation
3	Reversal of common ITC utilized on Taxable & Exempt supplies
4	Output Tax Liability Validation
5	RCM Review
6	Export & LUT Compliance
7	E-invoicing and E-way bill Matching
8	Debit Note/ Credit Note Time limit Check
9	Interest & Late Fee Exposure Review
10	Annual Return (GSTR-9 / 9C) Preparation

Liability for Payment of Advance Tax

By CA T. Rajesh

As per Section 207 of the Income Tax Act, 1961 advance Tax shall be payable during any Financial Year on the total Income of the Assessee which would be chargeable to tax. Advance tax shall be arrived at after deducting the following from the tax on total income:

- Tax deducted at Source/Tax Collected at Source

- Minimum Alternate Tax/ Alternate Minimum Tax credit allowed
- Relief U/s 89/90/90A/91 of the Income Tax Act, 1961

Assessee is liable to pay advance tax in case the tax liability is Rs.10000 or more during any financial year. The provisions of Advance Tax shall not apply to an individual resident in India, who

- does not have any income chargeable under the head “Profits and gains of business or profession”; and
- is of the age of sixty years or more at any time during the tax year.

Due dates for remitting advance tax

Due date of each advance tax instalment and the minimum amount payable by that date

Sl. No.	Due date of instalment	Amount payable
1.	On or before the 15th June	Not less than 15% of such advance tax.
2.	On or before the 15th September	Not less than 45% of such advance tax, as reduced by the amount, if any, paid in the earlier instalment.
3.	On or before the 15th December	Not less than 75% of such advance tax, as reduced by the amount or amounts, if any, paid in the earlier instalment or instalments.
4.	On or before the 15th March	The whole amount of such advance tax, as reduced by the amount or amounts, if any, paid in the earlier instalment or instalments.

An assessee opting for presumptive taxation under section 44AD and section 44ADA of Income Tax Act, 1961 shall be liable to pay the total amount of advance tax on or before the 15th March of that Financial year.

Any amount paid by way of advance tax on or before the 31st March, shall be treated as advance tax paid during the financial year ending on that day.

Interest For Non-Payment or Short Payment of Advance tax - Section 234B of the Income Tax Act, 1961

- Assessee has either failed to pay such advance tax or has paid advance tax that is less than 90% of assessed tax.
- The assessee is liable to pay simple interest at the rate of 1% per month or part of a month on the amount of shortfall from the 1st day of April of the relevant assessment year up to the date of determination of total income.
- On payment of self-assessment tax under Section 140A of the Income-tax Act, 1961, the interest under Section 234B shall be calculated up to the date of payment of such self-assessment tax.

Interest Payable for Deferment of Advance Tax - Section 234C of the Income Tax Act, 1961

Manner of Calculation of Interest under section 234C

Calculation of interest under section 234C: for each instalment due date, the advance tax due on returned income, the shortfall, and the rate of interest payable on that shortfall

Sl. No.	Due date of instalment	Advance tax due on returned income	Amount of Shortfall of advance tax (C – B)	Interest payable on shortfall as per D
A	B	C	D	E
1.	15th day of June	15% of the tax due on returned income	Shortfall till 15th day of June	3%
2.	15th day of September	45% of the tax due on returned income	Shortfall till 15th day of September	3%
3.	15th day of December	75% of the tax due on returned income	Shortfall till 15th day of December	3%
4.	15th day of March	100% of the tax due on returned income.	Shortfall till 15th day of March	1%

No interest shall be payable under Section 234C of the Income Tax Act, 1961 if the following minimum percentages of tax due on returned income are paid on time:

- By 15th June - At least 12% of total tax due
- By 15th September - At least 36% of total tax due

Non-applicability of interest under section 234C

The provisions of section 234C shall not be applicable to any shortfall in the payment of the tax due on the returned income where such shortfall is on account of under-estimate or failure to estimate-

- The amount of capital gains; or
- Income by way of winnings from lotteries, crossword puzzles, races including horse races, card games and other games of any sort or from gambling or betting of any form; or
- income under the head "Profits and gains of business or profession" in cases where the income accrues or arises under the said head for the first time; or
- the amount of dividend income

And the assessee has paid the whole of the amount of tax payable on the above incomes by the 31st day of March of the financial year.

Key Changes in Tax Deducted at Source

By CA T. Rajesh

The new Income Tax Act, 2025, is scheduled to come into effect on April 1, 2026. It will replace the existing Income Tax Act, 1961. We would like to share Key Rates of Tax Deducted at Source (TDS) for Residents (Tax Year 2026-27) under the Income Tax Act, 2025.

Key TDS rates for residents for Tax Year 2026-27: nature of transaction, the old section under the Income Tax Act, 1961, the new section under the Income Tax Act, 2025, the new rate and the threshold limit in rupees.

Nature Of Transaction	Old Section	New Section	New Rate	Threshold Limit (Rs.)
Salary	192	392	Basic Exemption Limit	Slab Rates
Interest on Securities	193	393	10%	Rs.10,000
Interest on Bank/ Post Office deposits	194A	393	10%	Rs.50,000
Interest on Bank/ Post Office deposits (Senior Citizen)	194A	393	10%	Rs.1,00,000
Interest (Others)	194A	393	10%	Rs.10,000
Payment to Contractors or Sub-contractors (Individuals/HUF)	194C	393	1%	Rs.30,000 for Single transaction, Rs.1,00,000 in a Financial Year
Payment to Contractors or Sub-Contractors (Others)	194C	393	2%	Rs.30,000 for Single transaction, Rs.1,00,000 in a Financial Year
Commission or Brokerage	194H	393	2%	Rs.20,000
Rent (Plant & Machinery)	194I(a)	393	2%	Rs.50,000 Per Month
Rent (Land & Building)	194I(b)	393	10%	Rs.50,000 Per Month
Transfer of certain immovable property other than agricultural land	194IA	393	1%	Rs.50,00,000
Rent payment by individual / HUF not covered u/s 194I	194IB	393	2%	Rs.50,000 per month
Fees - Technical Services, Call Centre, Royalty, Distribution / Exhibition of Cinematography Films, etc.	194J(a)	393	2%	Rs.50,000
Fees – All other Professional Services	194J(b)	393	10%	Rs.50,000
Payment made for Contracts, Brokerage or Professional Fees etc. by Individual and HUF	194M	393	2%	Rs.50,00,000
Purchase of Goods exceeding Rs. 50 Lakh	194Q	393	0.1%	Rs.50,00,000
Payment by Partnership Firm to partners	194T	393	10%	Rs.20,000

Compliance Deadlines – March 2026

March 2026 compliance deadlines: due date, category, the compliance or form concerned, and the period it covers.

Date	Category	Compliance / Form	Period
02 March	Income Tax	Forms 26QB, 26QC, 26QD, 26QE (TDS on property/rent/etc.)	Various
07 March	Income Tax	TDS/TCS Deposit	Feb 2026
10 March	GST	GSTR-7 (TDS) & GSTR-8 (TCS)	Feb 2026
10 March	FEMA	ECB-2 Return (External Commercial Borrowings)	Feb 2026
10 March	Prof. Tax	PT Payment (Telangana)	Feb 2026
11 March	GST	GSTR-1 (Monthly Filers)	Feb 2026
13 March	GST	IFF (Optional for QRMP) & GSTR-6 (ISD)	Feb 2026
15 March	PF & ESI	Monthly Contribution (EPF/ESIC)	Feb 2026
15 March	Income Tax	Advance Tax – 4th & Final Instalment	FY 2025-26
15 March	Income Tax	Form 24G, Forms 3BB/3BC (stock exchange reporting)	Feb 2026
17 March	Income Tax	Issue TDS Certificates (194-IA, 194-IB, 194M, 194S)	Dec 2025
20 Mar	GST	GSTR-3B (Monthly Filers) & GSTR-5A (OIDAR services)	Feb 2026
25 Mar	GST	PMT-06 Tax Deposit (QRMP Scheme)	Feb 2026
28 Mar	GST	GSTR-11 (UIN holders for refund)	Feb 2026
30 Mar	Income Tax	Forms 26QB, 26QC, 26QD, 26QE (second cycle)	Various
31 Mar	GST	LUT Renewal (Form RFD-11), CMP-02 (composition option)	FY 2026-27
31 Mar	Income Tax	Form 3CEAD (CbC Reporting), Form 67 (FTC claim), Updated Return filing deadline	AY 2026-27

Congratulations G. Sree Kumar on clearing CA Final...!!!

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